



Nyadi Hydropower Limited

Buddha Nagar, Kathmandu, Nepal

Unaudited Statement of Financial Position as on Poush 29, 2080

Figures in NPR ‘000

Particulars	This Quarter Ending (Poush End 2080)	Previous Quarter Ending (Ashwin End 2080)	Corresponding Previous Year Quarter Ending (Poush End 2079)
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	7,384	7,384	7,894
Intangible Assets	5,884,279	5,901,727	6,066,845
Other Non Current Assets	57	661	612
Total Non-Current Assets	5,891,720	5,909,772	6,075,351
Current Assets			
Cash and Cash Equivalents	23,201	39,463	9,008
Bank Balance Other than Cash and Cash Equivalents	1,272	1,272	1,272
Other Financial Assets	120,920	94,587	115,415
Other Current Assets	10,803	19,364	17,469
Total Current Assets	156,196	154,687	143,164
Total Assets	6,047,916	6,064,459	6,218,515
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	1,500,000	1,500,000	1,500,000
Other Equity	(449,499)	(415,881)	(253,792)
Total Equity	1,050,501	1,084,119	1,246,208
Liabilities			
Non-Current Liabilities			
Borrowings	4,485,960	4,497,404	4,147,247
Other Financial Liabilities	190,253	190,253	337,406
Provisions	1,773	1,807	1,833
Total Non-Current Liabilities	4,677,986	4,689,463	4,486,486
Current Liabilities			
Borrowings	250,000	250,000	434,391
Trade Payables	1,538	624	30,032
Provisions	66,954	-	14,104
Other Financial Liabilities	-	39,011	5,556
Other Current Liabilities	937	1,242	1,737
Total Current Liabilities	319,429	290,877	485,820
Total Liabilities	4,997,415	4,980,340	4,972,307
Total Equity and Liabilities	6,047,916	6,064,459	6,218,515
Unaudited Statement of Profit & Loss and other Comprehensive Income for the Period Ended Poush 29, 2080			
Figures in NPR ‘000			
Particulars	This Quarter Ending (Poush End 2080)	Previous Quarter Ending (Ashwin End 2080)	Corresponding Previous Year Quarter Ending (Poush End 2079)
Revenue During Constuction Phase	-	-	-
Revenue from Operations	287,039	130,851	284,919
Cost Incurred During Construction Phase	-	-	-
Project Operating Expenses	(132,273)	(60,893)	(128,125)
Gross profit	154,766	69,958	156,794
Other Income	-	-	-
Administrative and Other Operating Expenses	(16,122)	(9,002)	(35,803)
Net Operating Profit	138,644	60,957	120,991
Finance Cost	(245,282)	(94,850)	(226,553)
Finance Income	195	159	9
Profit / (Loss) before Tax & Bonus	(106,443)	(33,734)	(105,552)
Provision for Staff Bonus	-	-	-
Provision for Reserves	-	-	(5,556)
Profit / (Loss) before Tax	(106,443)	(33,734)	(111,108)
Income Tax Expense	-	-	-
Net Profit for the year	(106,443)	(33,734)	(111,108)
Other Comprehensive Income	-	-	-
Total Comprehensive Gain/(Loss), Net of Tax	(106,443)	(33,734)	(111,108)

First Quarter Disclosure as of Poush 29, 2080 as per Securities Registration and Issuance Regulation Annexure -14 (Related to Sub-Regulation 1 of Regulation 26)					
1 FINANCIAL STATEMENTS					
- The Unaudited Financial Statements for the first quarter and key financial ratios have been published along with this report. - Transactions with related parties: Business Transactions were conducted with related parties at arm’s length in line with section 93(3c) of the Company Act, 2063. NHL has been availing promoter’s loan and rental and other associated facilities from Butwal Power Company Limited and using various consultancy service as an when needed from Hydro Consult Engineering Ltd. - Key Financial Indicators					
Period	Earning per share (Annualised)	Net Worth Per Share	Current Ratio	Price Earning Ratio	Return on Assets
This Year Quarter End	(14.19)	70.03	0.49	(20.57)	-1.76%
Previous Quarter End	(9.00)	72.27	0.53	(25.90)	-2.23%
Corresponding Previous Year Quarter End	(7.95)	83.08	0.29	(39.50)	-1.79%
2 MANAGEMENT ANALYSIS					
“Any changes in the Stock, Income and Liquidity during the quarter and the reason for change, if any”: Stock/spare parts of the power plants equipments has been maintained at a sufficient level as provided by the Contractor as per the terms of the EPC Contract. Finance cost on Term Loan of the project do have serious impact on the company’s profitability as it covers a majority portion of company’s expense. Similarly, amortization of Intangible Assets during the period also affects the profitability of the company. “Statement of Management Analysis on the Company’s upcoming Business Plans”: The Company has not any such plan for other project developments other than for effective/efficient operation of the project rather than lobbying for the construction of 132 kV Tarikuna substation and reversal of “Take and Pay” clause to “Take and Pay” with Nepal Electricity Authority. “Analytical Statement on the possible effect on Company’s Profitability, Stock and Cash Flows based on the past experience.”: Due to the contingency plan with NEA i.e. Sale of energy on “Take and Pay Basis”, NEA has not taken full generation of the project in last quarter i.e. wet seasons and the company has to abide with the dispatch instruction from Load Dispatch Centre, NEA. This has made a serious impact on current financial year’s profitability.					
3 LEGAL PROCEEDINGS					
- Case filed by or filed against the Company during the quarter, if any: None - Case filed by or filed against the Company or its Promoter or Director for violation of the prevailing regulation or committing the criminal offense, if any: None - Case filed against the Promoter or Director on Financial crime, if any: None					
4 ANALYSIS OF COMPANY’S SHARE TRANSACTIONS					
- NHL shares were actively traded during the first quarter. - The major highlights of share transactions during the quarter are as follows: - Maximum Price - NPR 311.10 ; Minimum Price - NPR 183 ; Closing Price - NPR 292; No. of Transaction Days - 49 ; Total Transactions - 6,610 ; Total Traded Volume - 522,298 and Total Traded Value- NPR. 140,126,430.30.					
5 PROBLEMS AND CHALLENGES					
Internal					
- Optimization and Retention of skilled human resources; - Fund Management problem due to liquidity problem in financial market resulting increase in finance cost - Managing the operational efficiency of the project					
External					
- Impact of Global Warming and Climate change effects and the amount of rain/snow fall in the project catchment area. - Foreign Exchange Risk exposures in payment to contractors due to fluctuation of currency in the International Foreign Exchange Markets; - Delay in construction of Tarikuna Substation & 132 kV Transmission Line by Nepal Electricity Authority and the financial impact to project due to Line loss and Generation loss for the evacuation of energy generated from the project as per the Contingency plan with NEA.					
Strategies					
- To maximize generation of powerplant with at least maintaining the contract energy of Power Purchase Agreement - To operate the powerplant efficiently and effectively.					
6 CORPORATE GOVERNANCE					
Board of Directors, Project Steering Committee, Audit Committee, Other Committees and Management Team are committed towards strengthening good corporate governance within the company. NHL has written manual, policies, rules & guidelines for proper functioning of the operation of the company.					
7 DECLARATION OF CHIEF EXECUTIVE OFFICER ON TRUTH, TACTFULNESS					
I, the Chief Executive Officer of this Company, take the responsibility of accuracy of the information and details mentioned in this report for the second quarter of FY 2080/81, hereby declare that the information and details provided in this Report are true, based on facts, and complete to the					